Governor Pritzker's housing plan takes this crisis seriously

And yes, Springfield is going to have to pre-empt local zoning

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We're a bit of a broken record on this one, but in case you haven't heard: Illinois has a housing shortage. According to Illinois Economic Policy Institute, our state was short 142,000 homes in 2025. We'll need to build 227,000 homes by 2030 to keep pace with demand. Unfortunately, we're only building homes at half that rate.

That's why it was so exciting to see the suite of housing proposals Governor JB Pritzker released last week. They include legalizing more housing types statewide and hacking away at red tape. These ideas are genuinely ambitious, and represent a welcome effort to finally meet this crisis at its needed scale.

Unfortunately, the plan has already faced pushback from Republicans and lobbyists for local governments, who argue that it goes too far by pre-empting local control over housing. Sometimes local control makes sense. But not on housing. In state after state, localized political incentives make it difficult for individual towns and cities to address our housing crisis. Illinois is simply not going to build enough homes unless we embrace state pre-emption.

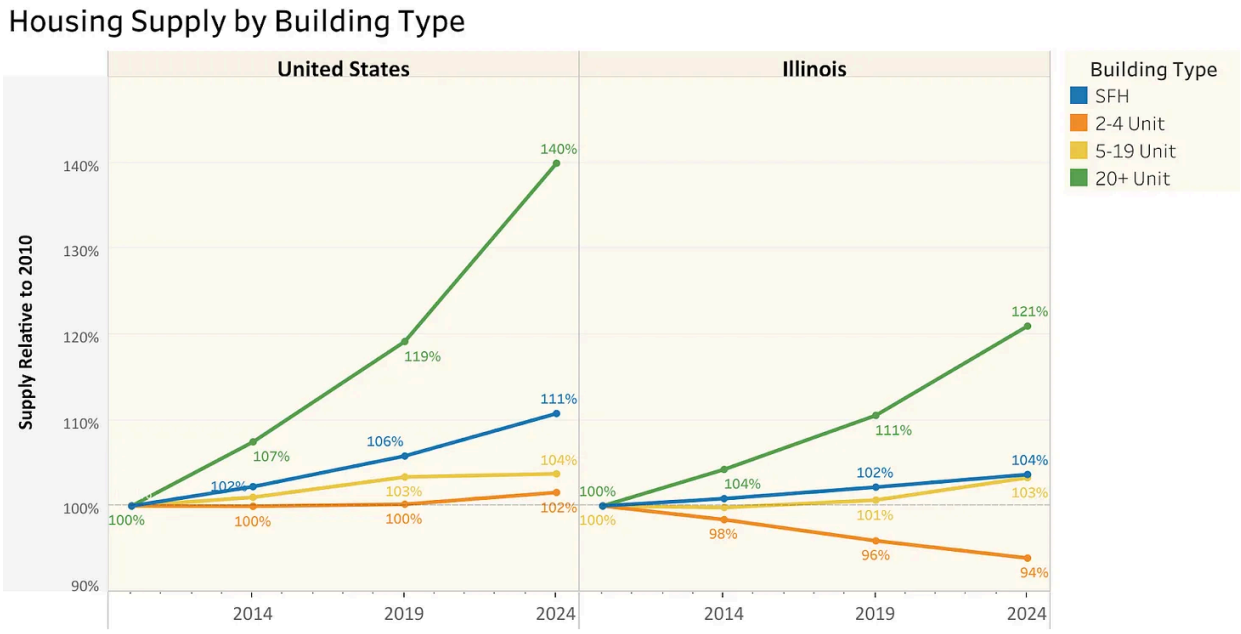
JB SWINGS FOR THE FENCES

The Governor's plan would legalize missing middle housing (like two-three and four-flats) on residential lots of 2,500 square feet or greater statewide, legalize Accessory Dwelling Units statewide, and cut down on parking requirements. It'd also streamline permitting requirements, standardize impact fees, modernize building codes, and appropriate new dollars to support housing development.

The "missing middle" reforms are particularly great. Missing middle housing represents a key step on the housing ladder between expensive units in supertalls and

single-family homes that few Illinois families can afford. Missing middle housing matters because having an adequate amount of housing supply affordable to people with mid-level incomes is important to avoid pushing more people onto the subsidized housing ladder. If you think the general housing supply shortage is bad, our shortage of needed subsidies for affordable housing is even worse.

Unfortunately, Illinois has been actively losing missing middle housing for more than a decade. According to American Community Survey data, the state lost nearly 41,000 housing units located within 2-4 unit buildings from 2010-2024, or about 6 percent of its 2010 supply.



Making it easier to build new missing middle units could make a big difference. In Illinois, housing units in newly constructed buildings with 2-4 housing units (duplexes, triplexes, quadplexes) cost purchasers an average of about $210,000 less than attached or detached single-family housing in Cook County. [1]

New Housing Prices by Building Type, Cook County

Based on sales data from 2021-2024 and limited to buildings built after 2019.

Building Type	Avg. Price/Unit	Sales	Change in Price
SFH	$909,427	3,574	15%
2-4 Unit	$699,411	359	8%
5-19 Unit	$809,412	137	−38%
20+ Unit	$1,199,316	132	−26%

Data excludes units with multiple sales and all units that sold for less than $100k. Per unit purchase price weighted by average neighborhood-level difference between 2+ unit building types and single-family home prices.

Table: Bo McMillan • Source: Cook County Assessor's Office • Get the data • Created with Datawrapper

Is $699,411 still expensive for a new home? Absolutely. But that's still a reduction in monthly mortgage costs of nearly $1,700 per month, relative to a single-family home. [2] It would also set off a virtuous chain reaction: In turn, the units previously occupied by households moving to newly built units would come on the market for other home buyers or renters and ease stress on our current shortage of housing stock. Indeed, these lower monthly housing costs would make owning a brand new home immediately affordable to an additional 200,000 households in Cook County alone. [3]

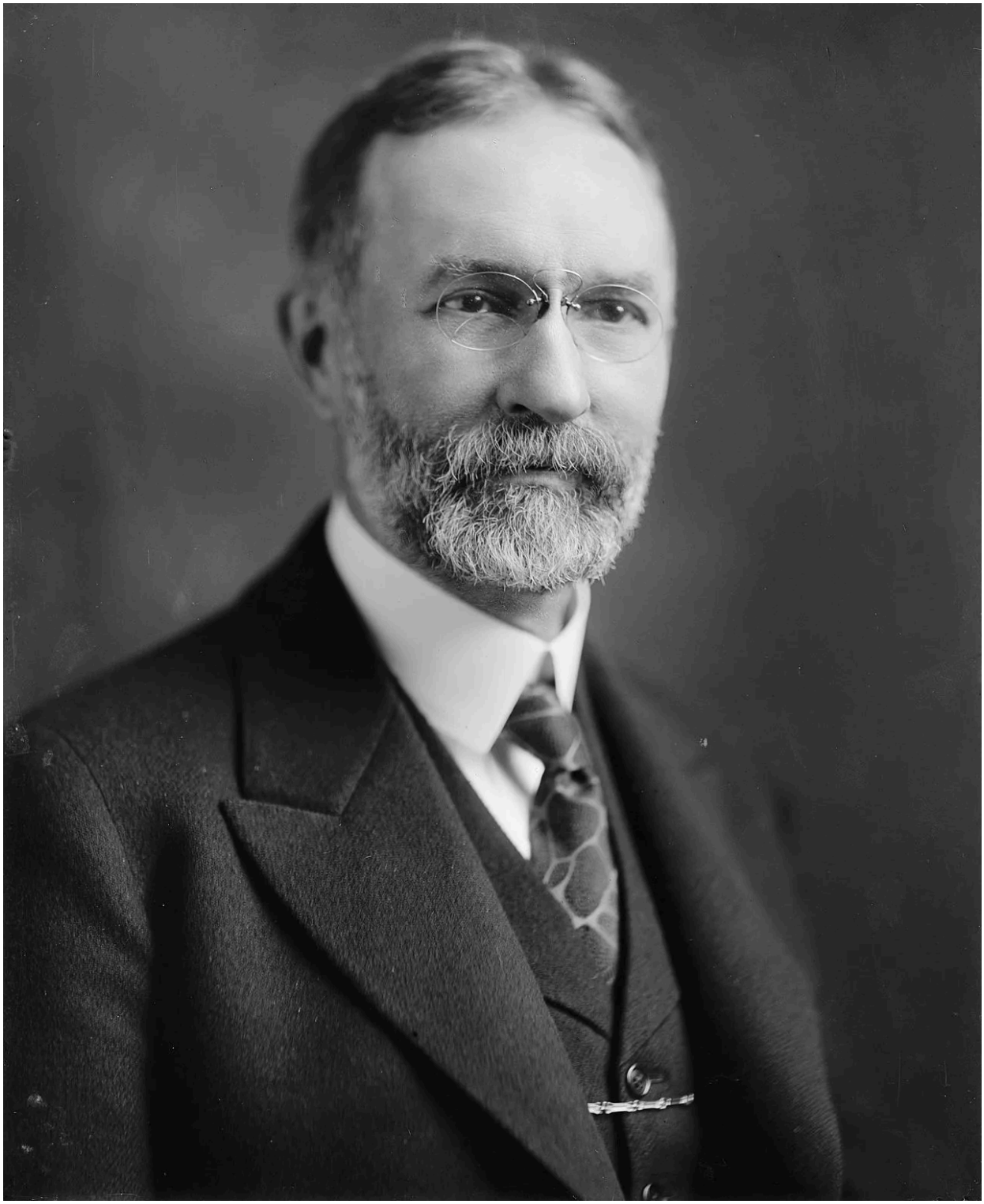
RADICALLY, NOT A RADICAL IDEA

The governor's plan has won widespread acclaim from Democrats and pro-housing organizations. But it's faced some pushback from the Illinois Municipal League (which represents towns and cities in Springfield), and Republicans, including gubernatorial candidate and self-proclaimed policy wonk Ted Dabrowski. [4]

Rather than having Springfield write the rules, they think individual municipalities are more responsive to local needs and should be able to figure out these housing issues on their own. Or as IML CEO Brad Cole put it, "This is a broad preemption of authority on an issue that is entirely local."

The housing crisis, however, is *not* a local issue. It's simply too big for any one local government to address. And the more local you go, the harder the politics get. Upzoning at the project or neighborhood level draws out local opponents, but isn't going to register for most of the project beneficiaries, who may not even live in someone's ward or suburb yet. Any one project won't fix the housing crisis, but it is guaranteed to generate headaches for an Alder or suburban mayor.

That's how you end up in a situation where the only type of housing allowed on approximately 70 percent of U.S. residential land is detached single family homes. Those single-family homes affordable are to just one-third of U.S. households and under 15 percent of renters.



In Euclid v. Amber, the decision allowing states to regulate height and density of residential development, Associate Supreme Court Justice George Sutherland described the apartment building as a "mere parasite." One wonders what he thought of its residents.

Trying to solve our housing crisis one project approval at a time is a lot like trying to fix climate change by diligently composting your food waste. It's a good idea! But it's not a scalable solution to a collective action problem.

WHAT ELSE IS THERE?

There are other options besides direct pre-emption to push municipalities to build more housing. They include:

- **Growth incentives**: States can offer carrots, including higher scores or special status for state grant applications, inclusions in specialized discretionary funding programs, or prioritization for state-led development projects (like IDOT projects) if a local government manages to meet defined housing growth goals. States that have created housing growth incentive programs include Massachusetts, New York, and New Hampshire.
- **Menu of options**: State legislators provide a suite of recommended updates to zoning laws and building codes. Local governments must then adapt a designated number of these recommendations (like raised maximum building heights or lower maximum building parking requirements) to help speed local housing construction. States that have passed a menu of options legislation include Montana and Utah. Representative Eva-Dina Delgado introduced a menu of options bill to the General Assembly in February.
- **Housing element plans**: Local governments are required to conduct projected housing needs studies in compliance with state law, then demonstrate sufficient efforts toward approving the levels of new housing (or affordable housing) construction required to meet those needs. California and Washington both have housing element laws already in effect. Colorado's new housing element law will fully come online by the end of the year. Illinois even has one! (More on that in a moment.)
- **Builder's remedy**: Often tied to other state-level reforms, this provision allows builders to sue or ask the state to supersede local governments for denying

building permits that should be approved according to state regulations. If successful, these suits functionally strip local governments of their authority to impose any additional building requirements on a site with designated affordable housing that exceed state mandates (think levels of affordability, building materials, etc.). States with builder's remedy laws include California, Massachusetts, and Illinois (more on that in a minute).

Unfortunately, none of these alternatives are as effective as we'd like.

Often, growth incentives mean little to exclusionary, well-resourced communities who'd rather not build any new housing for whatever addled reason du jour (parking, property values, etc.). If they already have a good thing going on, carrots will matter far less than preserving local control without the accompanying threat of strongly wielded sticks.

Meanwhile, menu-based policies and housing element plans are far too easily hacked by local municipalities looking for an easy way out. As law professor Chris Elmendorf writes for the Mercatus Center, housing element plans are easily gamed by "economically dubious" projections of housing needs, uneven definitions of affordability, and other types of bureaucratic chicanery - like locating sites for new housing on dead-end roads by freeways where few people want to live.

Housing elements plans and menu of options plans also suffer another major hurdle in that they impose a serious administrative burden on the state. Who would supervise and review housing elements plans to ensure they actually hold to state standards?

As Welcoming Neighbors Network State Policy Campaigns Director Christian Solorio recently told me in conversation, both housing element plans and builder's remedy laws create process hurdles that bottleneck their impact well prior to implementation. Ultimately, the state focuses less on getting more housing built and more on litigating numbers within housing elements or on checking to ensure builders do qualify for remedies case-by-case. [5]

That's even assuming the builder will apply for a remedy. In 2003 Illinois passed its Affordable Housing Planning and Appeal Act (AHPAA) to streamline affordable housing construction in places where affordable housing options are limited. The law includes both a housing element component (municipalities with low affordability must show that they're taking steps to increase affordable housing) and a builder's remedy

component - builders who want to build affordable housing in non-compliant municipalities that refuse projects can turn to the state for help.

Unfortunately, since the law's passage, *not one challenge to approve an affordable housing development in non-compliant jurisdictions has been filed with the state of Illinois*. That's not for lack of non-compliant jurisdictions. As Impact For Equity noted in a November report, of the 44 municipalities required to submit plans to address their affordable housing shortcomings, 16 municipalities flat out did not offer a plan to meet compliance. Another 18 submitted plans that still left them non-compliant.

Even if builders *had* applied for remedy in those stubbornly noncompliant jurisdictions, however, the capacity limitations of the state would have made navigating them a potential challenge. Since 2009, when the board supposed to review AHPAA appeals was formed, it has not been fully staffed for at least 7 different years (2009-2012, 2023-2025).

We should staff that board, and, simultaneously, we should not have to lean so hard on AHPAA to make sure Illinois is affordable. The majority of affordable housing in this country was never built with affordability requirements in mind. It's what experts call "naturally occurring" affordable housing and it's the cumulative result of formerly new and pricier units filtering down to more affordability as decades wear on. If we aren't building that new housing at scale today, we're severely restricting the pipeline of naturally occurring affordable housing tomorrow and asking APHAA to solve a crisis far beyond its scope.

TAKE THE WIN

Pre-emption works because it is straightforward and squarely addresses the policy problem that tears apart many nascent pro-housing coalitions: it applies to *all* residential lots and ensures *everyone* pitches in to solve our collective shortage of housing by legalizing more affordable housing options statewide. The governor's proposal may be uncomfortable for some. But there's nothing comfortable about the housing shortage we're facing today.

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1 Data excludes units with multiple sales in the same year, excludes sales of new units for less than $100k, and weights average purchase prices by average neighborhood-level differences in per unit purchase prices for 2+ unit building types compared to prices of single-family homes.

2 Calculated for a 30-year fixed-rate loan with a 10 percent down payment and 6.1 percent interest. Monthly payments for a duplex would be $3,814; for a single family home they would be $5,511.

3 Federal affordability standards state that housing should not consume more than 30% of household income. For the mortgages described in this exercise, a new duplex would require a yearly household income of about $153,000 dollars, while a new single family home would require a yearly household income of about $220,000 dollars. While not exactly parallel, the Census Bureaus indicates 9.8% of Cook County households make between $150,000 and $200,000 dollars, the figure used for this estimate.

4 Interestingly, Republicans seem to be all over the place on this one. Gubernatorial Candidate Darren Bailey made some positive noises about the plan. Meanwhile, Republican State Committeeman Jeanne Ives is pairing the local control angle with a much uglier set of arguments.

5 As for menu of options bills, Solorio says there is too much leeway for municipalities who are bad actors to exploit loopholes and utilize broad interpretations of the listed options to insert "poison pills" that make development infeasible. Such poison pills and loopholes include upzoning areas like cemeteries and hospitals where no housing will ever be built, or even increasing height allowances by one foot to be legally compliant without actually make it more likely that additional height will lead to more housing.

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A guest post by

Bo McMillan

Board member of the Redress Movement, forthcoming author of a book on the narrative history of the housing crisis, and former BCG consultant.

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Noah Tang Midwest Pipedreams Feb 24

Liked by Conor Durkin, Richard Day, Bo McMillan

I also like the reforms to the building code like allowing single stair buildings instead of double-loaded corridor buildings.

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FrigidWind Madogiwazoku Feb 24

Liked by Richard Day

What would be an excellent amendment is mandating dense zoning around transit stops (at least within 1 mile and ideally within 3). That would reduce the subsidy needed for Metra and the CTA.

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